

The result, however, was the same as that from all other misleading accounting practices, *viz.*, to lead the public astray and to give those “on the inside” an unfair advantage.

Broader Significance of Subsidiaries’ Losses. We have suggested in this chapter that security analysis must make full allowance for the results of subsidiaries, whether they be profits or losses. But the question may well be raised: Is the loss of a subsidiary necessarily a direct offset against the parent company’s earnings? Why should a company be worth *less* because it owns something—in this case, an unprofitable interest? Could it not at any time put an end to the loss by selling, liquidating or even abandoning the subsidiary? Hence, if good management is assumed, must we not also assume that the subsidiary losses are at most temporary and therefore to be regarded as nonrecurring items rather than as deductions from normal earnings?

This point is similar to that discussed in the previous chapter relative to idle-plant expense and similar also to the matter of unprofitable *divisions* of a business, to be touched upon later. There is no one, simple answer to the questions that we have raised. Actually, if the subsidiary could be wound up *without an adverse effect upon the rest of the business*, it would be logical to view such losses as temporary—since good sense would dictate that in a short time the subsidiary must either become profitable or be disposed of. But if there are important business relations between the parent company and the subsidiary, *e.g.*, if the latter affords an outlet for goods or supplies cheap materials or absorbs an important share of the overhead, then the termination of its losses is not so simple a matter. It may turn out, upon further analysis, that all or a good part of the subsidiary’s loss is a necessary factor in the parent company’s profit. It is not an easy task to determine just what business relationships

Manual of Investments (Steam Railroads), 1931. The Wabash owned 99% of both the preferred and the common stock of the Ann Arbor. In December 1930 the Ann Arbor directors declared a \$5 dividend per share on the preferred and a \$27 dividend per share on the common. This action was taken in the face of a working-capital deficit and net earnings available of little over 10% of the dividends thus declared. Neither dividend was ever paid. This maneuver, however, enabled the Wabash to credit its share of the dividends declared to its income account as “dividend income” to the extent of \$1,073,455, which was sufficient to raise the fixed-charge coverage of the Wabash from about 1.3 times to a figure slightly in excess of 1.5 times.